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Case Number: 25STCV29212 Hearing Date: July 15, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: Wednesday, July 15, 2026

CASE NUMBER: 25STCV29212

CASE NAME: Perez v. Simplified Labor Staffing Solutions, Inc., et al.

MOVING PARTY: Defendants Simplified Labor

Staffing Solutions, Inc., Maersk Logistics & Services USA Inc., and

Performance Team Logistics LLC

OPPOSING PARTY: Plaintiff Carlos Perez

PROCEEDING: PETITION TO COMPEL ARBITRATION

RULING

SUMMARY: The Petition to Compel

Arbitration and Joinder to Petition to Compel Arbitration are denied.

Background

This

is an employment discrimination action arising out of Plaintiff Carlos Perez's ("Plaintiff") employment as a Forklift Driver at Defendants Simplified Labor Staffing Solutions, Inc. ("SLS"); Performance Team Logistics LLC ("PTL"); Maersk Logistics & Services, Inc. ("Maersk") erroneously sued as A.P. Moller – Maersk Inc.; and DOES 1 through 20 (collectively, "Defendants")

warehouse and logistics facility.

On April 9, 2026, Plaintiff filed the operative First Amended Complaint ("FAC") against Defendants, asserting causes of action for (1) Discrimination in Violation of FEHA; (2) Failure to Prevent Discrimination (FEHA); (3) Retaliation in Violation of FEHA; (4) Harassment in Violation of FEHA; (5) Failure to Prevent Harassment in Violation of FEHA; (6) Labor Code, § 98.6; (7) Labor Code, § 1102.5; (8) Labor Code, § 6310; and (9) Wrongful Termination in Violation of Public Policy. The FAC alleges that Plaintiff was forced to resign from his employment because of a hostile work environment based on sexual harassment, physical violence and intimidation, unsafe working conditions, and retaliation following Plaintiff engaging in protected activity.

On April 17, 2026, SLS and Maersk filed the Amended Petition to Compel Arbitration. On June 22, 2026, PTL and Maersk Warehousing & Distribution Services USA LLC[1] filed a Joinder to the Petition to Compel Arbitration.

motion TO COMPEL
ARBITRATION

I.
Legal Standard

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; see also *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219.)

"California has a strong public policy in favor of arbitration and any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration." (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686.) "This strong policy has resulted in the general rule that arbitration should be upheld unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute." (*Ibid.* [internal

quotations omitted].) This is in accord with the liberal federal policy favoring arbitration agreements under the Federal Arbitration Act ("FAA"), which governs all agreements to arbitrate in contracts "involving interstate commerce." (9 U.S.C. § 2, et seq.) "Thus, under both the FAA and California law, 'arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.'" (Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247, citing Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 98.)

II.

Discussion

SLS,

Maersk, and PTL (hereinafter, "Defendants") move for an order compelling Plaintiff to submit his claims against them to binding arbitration on the grounds that: (1) Plaintiff signed a written arbitration agreement; (2) Plaintiff refused to submit his claims to arbitration pursuant to the agreement; and (3) PTL is a joint employer with SLS and Maersk, making Plaintiff's claims against PTL subject to arbitration as well.

Applicability of the FAA

The Federal Arbitration Act (the "FAA") applies in both federal and state courts to contracts evidencing a transaction involving interstate commerce. (9 U.S.C. §§ 1–2; Southland Corp. v. Keating (1984) 465 U.S. 1, 12.) The FAA preempts conflicting state law. (Preston v. Ferrer (2008) 552 U.S. 346, 353; see also Mastick v. TD Ameritrade, Inc. (2012) 209 Cal.App.4th 1258, 1263.) The party that contends the FAA applies bears the burden to demonstrate that the arbitration agreement is in a "contract evidencing a transaction involving commerce' . . ." (Woolls v. Super. Ct. (2005) 127 Cal.App.4th 197, 211.)

"[T]he FAA's procedural provisions do not apply in state court unless the parties expressly adopt them." (Valencia v. Smyth (2010) 185 Cal.App.4th 153, 177.) Essentially, "[a]rbitration under the [FAA] i[s] a matter of consent, not coercion, and the parties are generally free to structure their arbitration agreements as they see fit. Just as they may limit by contract the issues which they will arbitrate, [Citation], so too may they specify by contract the rules under which the arbitration will be

conducted.” (Velt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University (1989) 489 U.S. 468, 469.)

“As an initial matter, we note that Golden State’s briefing before us contends that section 1281.98, whether preempted or not, ‘do[es] not apply because the parties unambiguously agreed [in the contract] to be bound by the FAA and JAMS’ rules.’ ” (Hohenshelt v. Superior Court (2025) 18 Cal.5th 310, 326.) “Golden State did not raise this argument in the trial court or the Court of Appeal, and neither court addressed it. Moreover, whether the parties did, or whether they may, opt out of the CAA is distinct from the issue on which Golden State sought our review — namely, ‘whether sections 1281.97 et seq. are preempted.’ ” (Id. at 327.) “Accordingly, we decline to address the belated contention that the CAA does not apply here.” (Id.)

Initially,

Defendants argued that the FAA applies to the arbitration agreement at issue. (Mot. at 10:27-11:5.) Specifically, Defendants stated that SLS is a temporary staffing services company doing business in California and other States; has numerous office locations throughout Southern California and other States; and supplies labor and staffing to customers in California and those based outside of California. (L. Perez Decl., ¶4.) This demonstrates that Defendants are engaged in interstate commerce. However, Plaintiff asserts that he is exempt from the FAA because as a Forklift Driver he drove the forklift, loaded and unloaded, sorted, and moved goods (FAC, ¶12), thus he is a “transportation worker” per 9 U.S.C. Section 1. (Opp. at 5:24-6:2; see also Rittmann v. Amazon.com, Inc. (9th Cir. 2020) 971 F.3d 904, 915 [“Accordingly, we conclude that § 1 exempts transportation workers who are engaged in the movement of goods in interstate commerce, even if they do not cross state lines.”].)

In

their reply brief, Defendants concede that Plaintiff is exempt from the FAA based on his status as a “transportation worker.” (Reply at 8:10-25.) As such, Defendants now contend that Plaintiff cannot invoke the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act (“EFAA”) to invalidate the arbitration agreement at issue. (Id.) The Court disagrees.

“[A]t the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement or predispute joint-action

waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute.” (Murrey v. Superior Ct. (2023) 87 Cal.App.5th 1223, 1234 [discussing the applicability of the Ending Forced Arbitration Act (“EFAA”)]; see also Yost v. Everyrealm, Inc. (2023) 657 F.Supp.3d 563, 585 [plaintiff must plead plausible allegations of sexual harassment to invoke the EFAA].)

“FEHA’s prohibition against sexual harassment includes protection from a broad range of conduct, ranging from expressly or impliedly conditioning employment benefits on submission to or tolerance of unwelcome sexual advances, to the creation of a work environment that is hostile or abusive on the basis of sex.” (Lewis v. City of Benicia (2014) 224 Cal.App.4th 1519, 1524 [internal quotations omitted].)

Here, the FAC pleads allegations of sexual harassment under FEHA against Defendants. Plaintiff alleges, among other things, the following: In or about January 2022, defendants hired Plaintiff as a Forklift Driver to work at their warehouse and logistics facility located 8610 Atlantic Avenue, South Gate, CA 90280 (the “Facility”) until January 1, 2024. (FAC, ¶ 11.) During Plaintiff’s employment, a coworker named Dwayne a/k/a “Slin,” repeatedly demanded that Plaintiff translate unwelcome sexual comments and sexual language into Spanish directed at two female coworkers, which he refused. (Id., ¶ 14.) Following Plaintiff’s refusal, Slin became verbally abusive, aggressive, and engaged in physically intimidating and violent behavior toward Plaintiff in the workplace. (Id., ¶¶ 16-17.) Slin would throw and hit Plaintiff with boxes inside the shipping containers. () Plaintiff complained to Defendants’ management about the hostile work environment, sexual harassment, physical violence and intimidation. (Id., ¶ 19.) Defendants’ management knew or should have known of the sexual harassment, hostile work environment, and physical violence and intimidation but failed to investigate Plaintiff’s complaints or take any corrective action. (Id., ¶¶ 21-24.) On or about January 1, 2024, Plaintiff was forced to resign because the working conditions had become intolerable. (Id., ¶ 25.)

No

California court has addressed whether a Plaintiff who is exempt from the FAA as a transportation worker may invoke – or, as Defendants argue, is precluded from invoking – the EFAA. An argument can be

made that the EFAA uses the phrase “this chapter,” when discussing the scope of its applicability. (9 U.S.C., § 402, subd. (b).) As such, a party seeking to compel arbitration could argue that a Plaintiff exempt from the FAA cannot invoke the EFAA to preclude arbitration their claims. On the other hand, the EFAA’s applicability is not limited to cases under the FAA because it expressly references cases filed under “Federal, Tribal, or State law.” (9 U.S.C., § 402, subd. (a).) It is undisputed that Plaintiff brings state FEHA and Labor Code violation claims against Defendants.

Based

on legislative purpose of the EFAA to restore court access for sexual harassment and/or sexual assault survivors, California and federal courts have found the California Arbitration Act (“CAA”) to be preempted by the EFAA. (E.g., *Turner v. Tesla, Inc.* (N.D. Cal. 2023) 686 F.Supp.3d 917, 925 [“The EFAA, in contrast to the FAA, demonstrates Congress’s preference that plaintiffs alleging sexual harassment be permitted to be heard in court and not be compelled to arbitration.”]; *Casey v. Superior Court* (2025) 108 Cal.App.5th 575, 584–585 [“The EFAA’s purpose is plainly obstructed by an attempt to use state law to force a person who is alleging sexual harassment to arbitrate their dispute.”].) Therefore, Defendants assertion that the CAA does not contain any specific “carve-outs” against arbitrating FEHA claims is unavailing.

Compelling

Plaintiff to arbitrate his claims, which are based on sexual harassment would run afoul of the purpose of the EFAA and California case law. The Court determines that the EFAA precludes arbitration in this case

Conclusion

For the reasons explained above, Defendants Simplified Labor Staffing Solutions, Inc., Maersk Logistics & Services USA Inc., and Performance Team Logistics LLC’s Petition to Compel Arbitration and Joinder to Petition to Compel Arbitration are denied.

Date: July
15, 2026

William

E. Weinberger

Judge,
Los Angeles Superior Court

[1]

On January 1, 2026,
Maersk & Distributions Services USA LLC merged with Maersk Logistics &
Services USA Inc. and is now known as “Maersk Logistics & Services USA
Inc.”